



Cambridge International AS & A Level

ACCOUNTING

9706/12

Paper 1 Multiple Choice

February/March 2026

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid or tape.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

1 Which statement about a sole trader is **not** correct?

- A Additional capital can be brought in at any time.
- B Drawings are unlimited.
- C Liabilities are limited to the capital introduced.
- D The ability to raise finance may be limited.

2 Which sources of finance are only available to limited companies?

- 1 bank overdrafts
- 2 debentures
- 3 rights issues
- 4 secured loans

- A 1 and 2 B 2, 3 and 4 C 2 and 3 only D 3 and 4 only

3 The owner of a business settled the account of a trade payable by a bank transfer of \$760 after deducting a cash discount of 5%.

What correctly records the entry for the cash discount in the cash book of the business?

- A discount allowed \$38
- B discount allowed \$40
- C discount received \$38
- D discount received \$40

4 A sole trader debited an item of capital expenditure to an expense account. The financial statements for the year were then prepared.

Which statement is correct?

- A The closing capital was overstated.
- B The expenses for the year were understated.
- C The non-current assets were overstated.
- D The profit for the year was understated.

- 5 X Limited purchased a printer and incurred the following expenditure on 1 January.

	\$
printer purchase price	40 000
2 years' supply of printer ink	3 000
3-year maintenance contract	6 000
installation	3 500

What is the amount to be recorded as capital expenditure on 1 January?

- A \$43 500 B \$46 000 C \$47 000 D \$49 500
- 6 A machine bought five years ago has been fully depreciated. At the beginning of the current financial year on 1 January, the business decided that the machine can be used for an additional three years and a residual value for it has been established.

What will be the depreciation entered in the books of account for this machine for the current financial year ended 31 December?

- A depreciation based on the original cost over eight years
 B no entries at all
 C reducing balance method based on the residual value and the remaining life
 D straight-line depreciation based on the residual value and the remaining life
- 7 The owner of a business purchased a new motor vehicle for \$28 500. He part exchanged an old vehicle and also paid \$12 000 for the new vehicle. The old vehicle had originally cost \$25 000 and had been depreciated by 20% per annum using the reducing balance method for two years.

What profit or loss was made on the disposal?

- A loss \$500
 B profit \$500
 C loss \$1500
 D profit \$1500
- 8 Which error will cause an entry in the suspense account?
- A a transposition error when transferring a ledger account balance to the trial balance
 B an error of commission where the wrong account is used but the type of account is correct
 C an error of omission where a transaction is **not** recorded
 D an error of principle where entries are made in the wrong type of account

- 9 The totals of a trial balance did **not** agree. The difference of \$600 was recorded as a debit balance in a suspense account. The following errors have now been corrected, but a balance remained on the suspense account.

- 1 The overdrawn bank balance of \$200 had been recorded as a debit balance in the trial balance.
- 2 The balance of the purchases returns account had been overstated by \$50.

What was the debit balance on the suspense account **after** these errors were corrected?

- A** \$150 **B** \$450 **C** \$850 **D** \$950

- 10 What are reasons for preparing a bank reconciliation statement?

- 1 helps to identify any errors in the bank statement
- 2 helps to identify any errors in the cash book
- 3 helps to identify fraud

- A** 1, 2 and 3 **B** 1 and 2 only **C** 1 and 3 only **D** 2 and 3 only

- 11 Jacqui's bank reconciliation statement was as follows:

	\$
balance per cash book	(200)
unpresented cheques	450
uncredited deposits	(550)
bank error	(225)
balance per bank statement	(525)

Which amount for the bank was recorded in the current liabilities?

- A** \$200 **B** \$300 **C** \$425 **D** \$525

- 12 What would **not** appear in a sales ledger control account?

- A** cash sales
B discounts allowed
C irrecoverable debts
D returns inwards

- 13 A purchases ledger control account has a balance of \$20 000. This does **not** agree with the total of the individual purchases ledger balances.

Control accounts are maintained as part of the double entry system.

The following items were discovered.

- 1 Returns inwards of \$400 had been debited in the purchases ledger control account.
- 2 A contra with the sales ledger of \$500 had been credited to the purchases ledger control account.
- 3 A purchase invoice for \$1200 had been entered into the purchases ledger control account but **not** into the individual purchases ledger account.

What is the corrected purchases ledger control account balance?

- A** \$19 000 **B** \$19 400 **C** \$19 900 **D** \$20 200

- 14 A sole trader did **not** write off an irrecoverable debt.

What are the effects of this on the financial statements?

- 1 Allowance for irrecoverable debts would be overstated.
- 2 Capital would be overstated.
- 3 Total assets would be understated.
- 4 Sales would be overstated.

- A** 1 and 2 **B** 1 and 3 **C** 2 and 3 **D** 3 and 4

- 15 A business maintains an allowance for irrecoverable debts at 5% of trade receivables.

After accounting for the allowance, the draft profit for the year was \$54 000. The following items had **not** yet been taken into account.

	\$
irrecoverable debts	1000
irrecoverable debts recovered	2500

What was the revised profit for the year?

- A** \$55 425 **B** \$55 450 **C** \$55 550 **D** \$55 575

16 When preparing a statement of profit or loss, the following errors were made.

- Goods taken for own use by the owner, valued at \$200, were **not** included.
- The closing inventory was overvalued by \$100.

Which effect will the correction of these errors have on the draft profit for the year?

- A decrease \$100
- B decrease \$300
- C increase \$100
- D increase \$300

17 Which statement about a partnership agreement is always correct?

- A Each partner is always paid interest on capital.
- B Each partner must introduce the same amount of capital.
- C Each partner must share profits and losses equally.
- D Each partner receives a salary only if set out in the agreement.

18 Stanley and Oliver are in partnership, sharing profits and losses in the ratio of 2 : 1 respectively.

At the end of a financial period, the following information is available.

	\$
profit for the year	140 000
total interest charged on drawings	1 020
total interest earned on capital	2 200

Stanley is the only partner who is entitled to a salary.

After the appropriation account for the year was prepared, Oliver's residual profit share was \$36 000.

How much was Stanley's salary?

- A \$28 780
- B \$30 820
- C \$32 000
- D \$33 180

19 What could be used to fund a bonus issue of shares?

- 1 general reserve
- 2 retained earnings
- 3 share premium

A 1, 2 and 3 **B** 1 and 2 only **C** 1 and 3 only **D** 3 only

20 A limited company's issued share capital consists of ordinary shares of \$0.50 each.

The directors recently made a 1 for 2 rights issue of ordinary shares at a premium of \$0.20 per share. The rights issue was fully subscribed.

The equity section of the company's statement of financial position **after** the rights issue included the following:

	\$
ordinary share capital	2 400 000
share premium	450 000

What was the total amount raised by the rights issue?

A \$560 000 **B** \$840 000 **C** \$1 120 000 **D** \$1 680 000

21 Which ratio can be calculated to measure the profitability of a business?

- A** acid test
- B** rate of inventory turnover
- C** return on capital employed
- D** trade receivables turnover

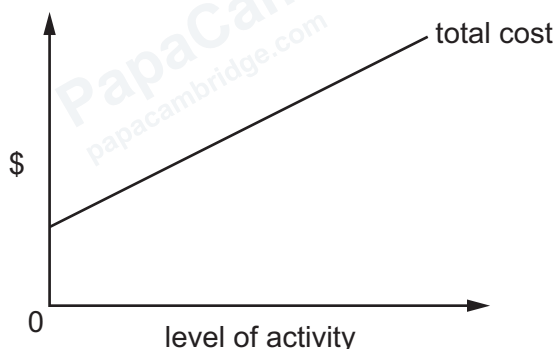
22 A business provided the following information for the year.

purchases	\$160 000
decrease in inventory during the year	\$20 000
gross profit margin	50%

What was the gross profit?

A \$70 000 **B** \$90 000 **C** \$140 000 **D** \$180 000

- 23 The diagram illustrates the total cost behaviour of a telephone invoice.



Which term best describes the behaviour of this cost?

- A fixed
 - B semi-variable
 - C stepped
 - D variable
- 24 What is **not** a characteristic of job costing?
- A Production identifies each cost unit separately.
 - B Production involves repetitive operations.
 - C Production is based on specific customer orders.
 - D Production is usually of short duration.

- 25 A manufacturing business makes product X.

Each unit of product X requires:

direct materials	6 kg at \$25 per kg
direct labour	6 hours at \$30 per hour

The factory overhead applied is \$5 per direct labour hour.

The required profit margin of the business is 20%.

What is the price to be charged for one unit of product X?

- A \$396
- B \$412.50
- C \$432
- D \$450

- 26 Which costing method is **most** suitable for fixing a selling price and which is **most** suitable for deciding whether to make or buy in a product?

	fixing of selling price	decision to make or buy in a product
A	absorption costing	absorption costing
B	absorption costing	marginal costing
C	marginal costing	absorption costing
D	marginal costing	marginal costing

- 27 A business has the following budgeted information.

	units
opening inventory	15 000
closing inventory	20 000

	\$
marginal cost profit	60 000
absorption cost profit	80 000

What is the budgeted overhead absorption rate per unit?

- A \$1 B \$4 C \$12 D \$16

- 28 Which statement about a break-even chart is correct?

- A At the break-even point, sales revenue equals fixed costs.
 B It is a reliable tool for forecasting future performance.
 C It shows costs and revenue over a defined activity range.
 D The sales and variable cost lines intersect at the break-even point.

- 29** A company produces and sells a single type of product.

The following information is available.

	\$
selling price per unit	36
variable cost per unit	22
total fixed costs	126 000

What is the sales revenue required to achieve a margin of safety of 40%?

- A** \$216 000 **B** \$315 000 **C** \$324 000 **D** \$540 000

- 30** Why is cost–volume–profit analysis used by management?

- 1 for planning purposes
- 2 for calculating over-absorbed or under-absorbed overheads
- 3 for determining actual profit

- A** 1 and 2 **B** 1 only **C** 2 and 3 **D** 3 only

BLANK PAGE

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (Cambridge University Press & Assessment) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in our Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge International Education is the name of our awarding body and a part of Cambridge University Press & Assessment, which is a department of the University of Cambridge.